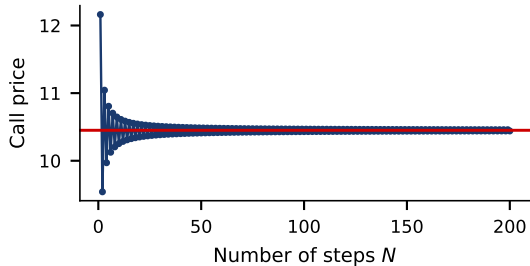
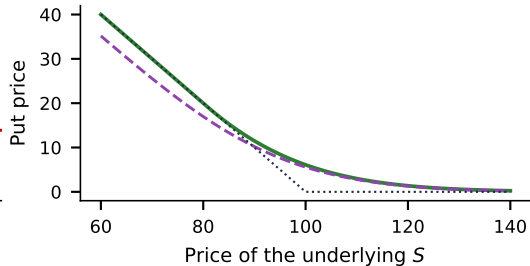


European call, $S = K = 100$, $T = 1$, $r = 5\%$, $\sigma = 20\%$



- Binomial tree (CRR), N steps
- Black-Scholes (10.451)

Early exercise has a value for puts



- American put (CRR, 500 steps)
- - - European put (Black-Scholes)
- Exercise value $\max(K - S, 0)$